

Evans Household Review

Twelve documents from the T-V folder cover eight valued accounts worth **\$1,262,405**, plus a life policy with no value shown and the family home. **\$1,178,234** (93%) sits with Equitable through one representative: the defined-benefit plan inside a buffered index annuity, the 401(k) inside a group variable annuity, and a small joint brokerage account cleared through LPL. That is the money the Schwab move is about; the children's accounts are already there and the 529 should stay where it is.

VALUED ACCOUNTS \$1,262,405 8 accounts; life policy and home not valued	AT EQUITABLE / LPL \$1,178,234 DB annuity \$737,594 + 401(k) \$384,795 + joint \$55,845	401(K) COST + DRAG TODAY 1.73% ≈ \$6,650 a year; ≈ \$6,438 saved at Schwab	DB ANNUITY: CREDITED VS. INDEX 7.5% vs 10.2% average of the 25 segment-years printed on the statement
---	--	--	---

What changed in v2. The Equitable Segment Activity Report for the defined-benefit plan (16 July 2026) values the plan at **\$737,594** — the household's largest asset by far, and 100% invested in 129 buffered index-linked segments. It moves the DB plan from a footnote to the centre of the Schwab discussion, and it shifts the household from "moderate" to about 79% equity-linked.

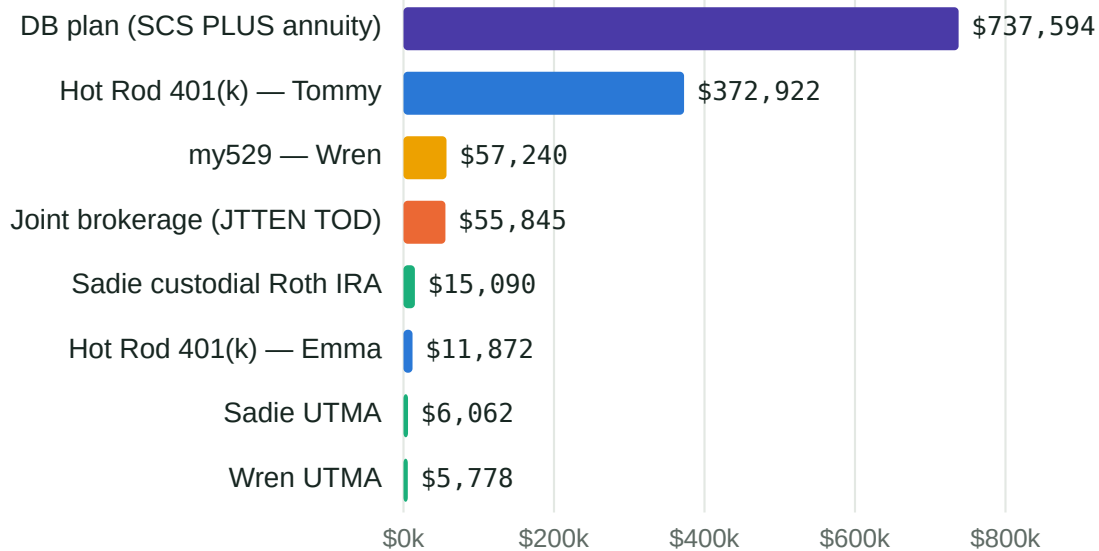
1 · WHAT THEY OWN

Eight accounts, three custodians, one relationship that holds 93% of the money

The largest asset is the company's **defined-benefit plan: \$737,594** at 16 July, held entirely inside an Equitable Structured Capital Strategies PLUS annuity (contract dated February 2021) as 129 separate index-linked segments; section 2 looks at it on its own. Next is Tommy's 401(k) — **\$372,922** at 30 June. Emma has a small profit-sharing balance in the same plan (\$11,872). The plan is Equitable's "Hot Rod 401k", a group variable annuity (Separate Account 65) sold and serviced by an Equitable representative, with two investment choices in use: the T. Rowe Price Retirement 2035 R fund and a Guaranteed Interest Option paying 2.00%.

The joint brokerage account at Equitable Advisors/LPL holds **\$55,845**: 79% in a single zero-coupon Treasury STRIP maturing August 2029, 20% in SpaceX Class A bought on 12 June (flagged "unsolicited"), and a sliver of cash. The account's stated objective is "Income with Moderate Growth", yet its estimated annual income is \$0.

The children's accounts are already at Schwab and self-directed: Sadie's custodial Roth IRA (\$15,090), and UTMA's for Sadie (\$6,062) and Wren (\$5,778), all built from ACWI, QQQ and AGG with no fees. Wren's my529 plan holds **\$57,240** in a 2032/33 target-enrollment portfolio, funded at \$200 a month, and has doubled its \$28,600 cost basis.



ACCOUNT	CUSTODIAN	AS OF	VALUE	2026 YTD GAIN	YTD RETURN	EXPLICIT FEES YTD	STATUS
Hot Rod 401(k) — Tommy 401(k) · Tommy	Equitable (group variable annuity)	2026-06-30	\$372,922	\$20,551	6.1%	\$652	MOVE
Hot Rod 401(k) — Emma 401(k) · Emma	Equitable (group variable annuity)	2026-06-30	\$11,872	\$1,039	9.9%	\$31	MOVE
Joint brokerage (JTEN TOD) Taxable · Tommy & Emma	Equitable Advisors / LPL Financial	2026-06-30	\$55,845	\$52	0.1%	—	MOVE
Sadie custodial Roth IRA Roth IRA (minor) · Sadie	Charles Schwab	2026-07-31	\$15,090	\$486	3.3%	—	AT SCHWAB
Sadie UTMA UTMA (CA) · Sadie	Charles Schwab	2026-07-31	\$6,062	\$480	8.6%	—	AT SCHWAB
Wren UTMA UTMA (CA) · Wren	Charles Schwab	2026-07-31	\$5,778	\$413	7.7%	—	AT SCHWAB
Evans Group DB plan — SCS PLUS annuity Defined benefit plan · Evans Group Home Loans (Tommy annuitant)	Equitable (index-linked annuity)	2026-07-16	\$737,594	n/a	n/a	—	MOVE
my529 — Wren 529 · Tommy (bene. Wren)	my529 (Utah)	2026-06-30	\$57,240	\$3,912	7.5%	—	KEEP
Total valued			\$1,262,405	\$26,933	5.5% ex-DB	\$683	

YTD return is a simple (gain ÷ beginning value) figure for the eight-month and seven-month periods; the 401(k) figures are Equitable's own personal rates of return. Explicit fees are what the statements print; embedded fund expenses are not included here.

Still not valued: the Prudential flexible-premium life policy (only a \$500 planned-premium reminder is on file) and the home (mortgage \$467,836 at 2.75%, ~24 years left). The DB document is a segment activity report, not an actuarial statement: it gives the annuity's value but not the plan's funding target, benefit formula or required contribution — those come from the TPA.

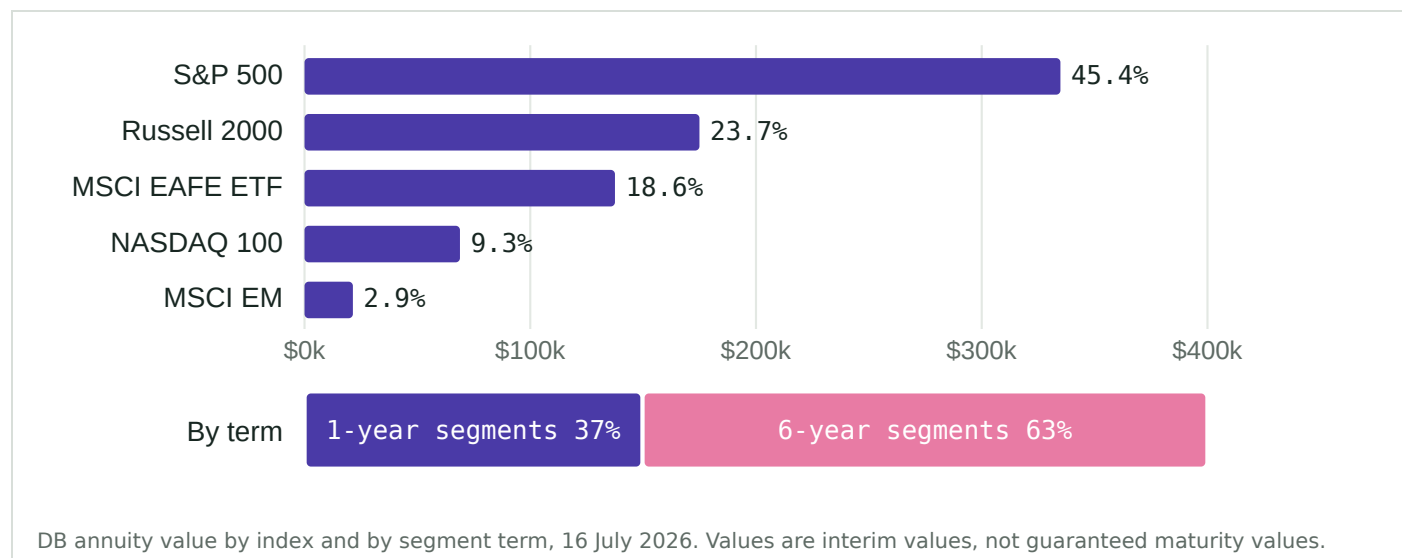
2 • THE DEFINED-BENEFIT PLAN

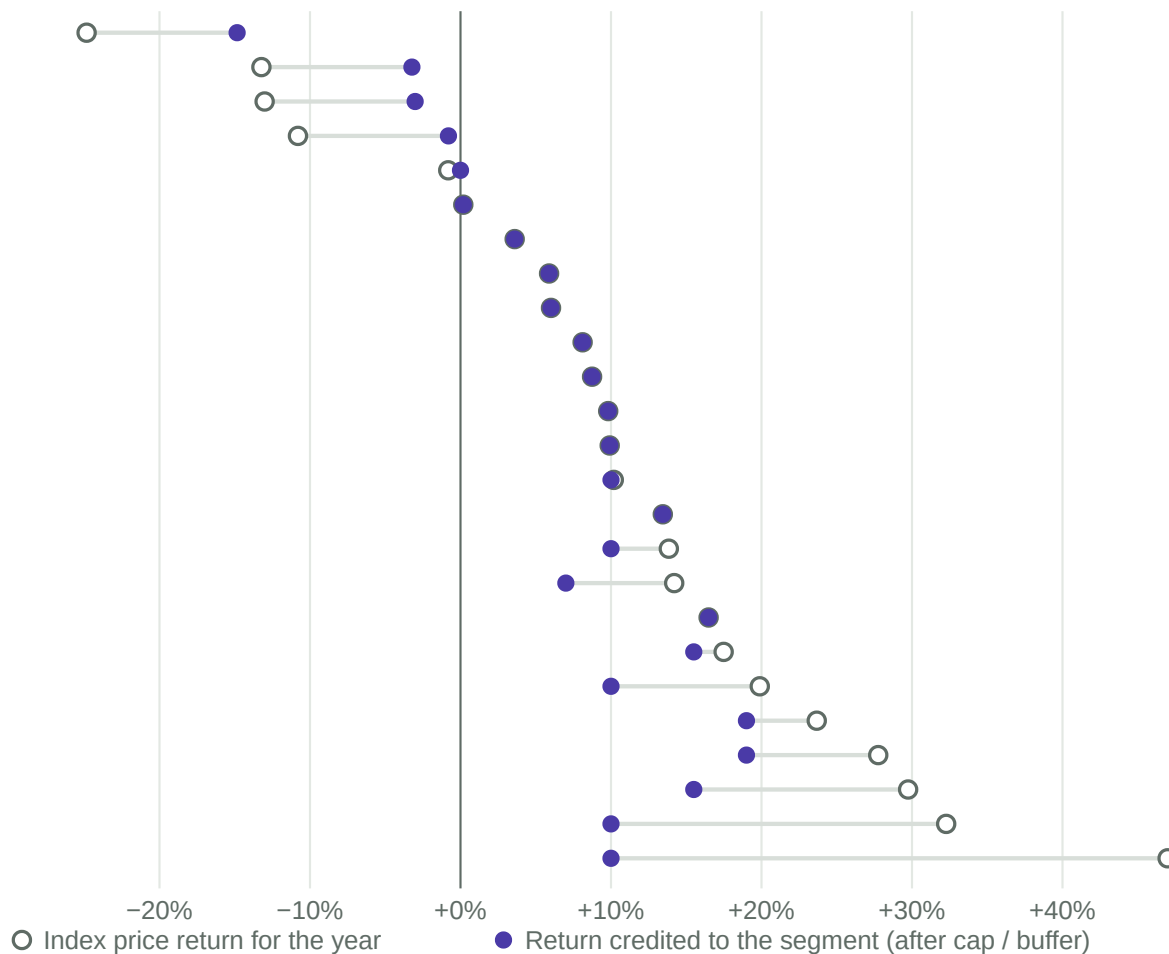
\$737,594 in buffered index segments — protected on the way down, capped on the way up

The DB plan does not own stocks or bonds. It owns 129 "segments" of an Equitable index-linked annuity: each tracks an index (S&P 500 45%, Russell 2000 24%, MSCI EAFE 19%, NASDAQ 100 9%, MSCI EM 3%) for one or six years, absorbs the first 10-30% of any loss, and gives up everything above a cap. Every contribution since 2021 appears to have opened a new segment — 30 started in 2026 alone — which is why the balance is spread across so many small pieces. There is no cash, bond or fixed sleeve at all: the allocation on file for new money is the money-market option, but maturing segments are instructed to roll straight into a new segment of the same type.

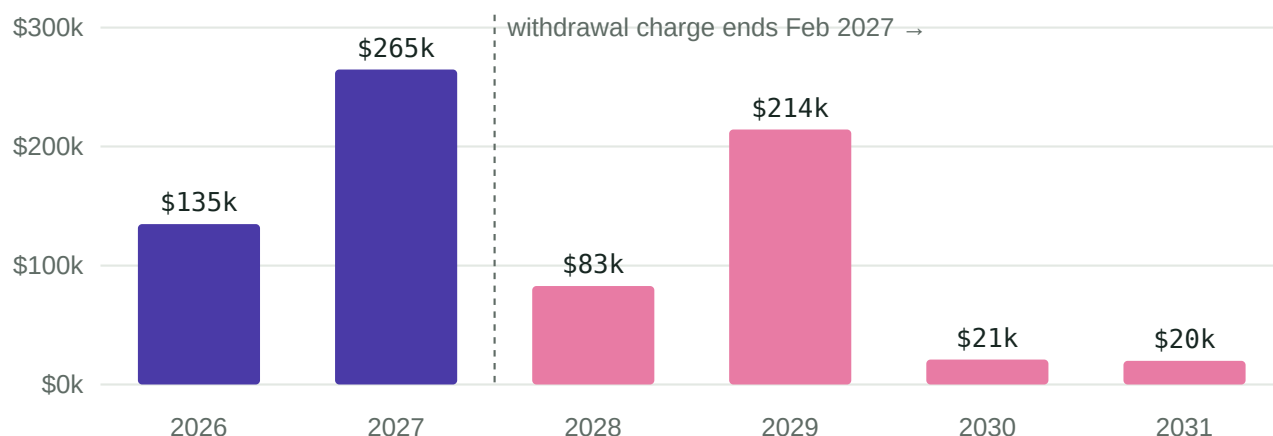
The statement shows what the caps have cost. Across the 25 segment-years for which it prints both numbers, the underlying index returned **10.2%** a year on average and the segments were credited **7.5%**. The cap bit in 10 of 25 years — Russell 2000 +47.0% became +10%, S&P 500 +29.8% became +15.5% — while the buffer helped in 5 down years, turning a -24.8% Russell year into -14.8%. Net of both, the annuity gave up roughly 2.8 points a year against the price index, and index figures exclude dividends — another 1-2 points a year segment holders never receive. The newest S&P annual-lock segments carry caps of only 7.0% and 5.5%.

That is the trade the client bought: smoother returns for a lower expected return, with no line-item fee. Whether it is worth it depends on how much downside protection a DB plan with a roughly ten-year horizon needs. On the statement's own evidence the cost has run at 2-4 points a year in a strong market — on \$737,594, something like \$18k-\$30k a year.





Every annual-lock segment-year printed on the statement: the index's return for that year (open dot) versus what the segment was credited after its cap or buffer (filled dot).



Segment value by maturity year. Purple = matures in 2026-27; pink = six-year segments maturing 2028-2031. The contract's 3% withdrawal charge ends 9 February 2027.

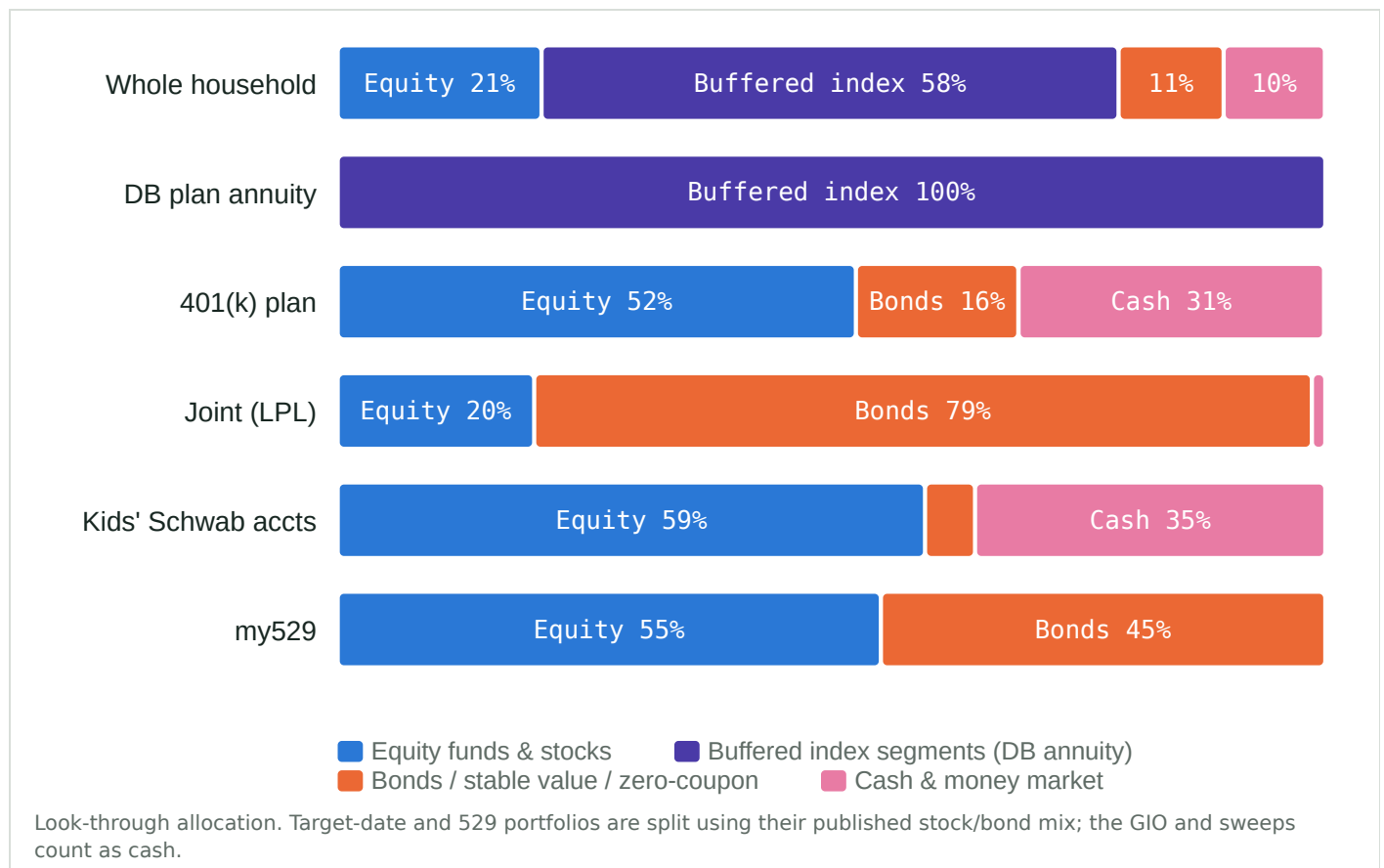
Timing matters here. The contract's withdrawal charge is 3% until 9 Feb 2027 ($\approx$ \$22,128 on today's value) and 0% after; taking a six-year segment before its maturity date means accepting the interim value, on which the buffer does not apply. \$399,634 of segments mature in 2026-27 and can move cleanly; the \$461,512 in six-year segments is a hold-or-haircut decision to make segment by segment. The plan's actuary should confirm the funding target before any money leaves the annuity.

3 • ALLOCATION

Almost entirely equity-linked once the DB plan is counted

Looking through the funds, the household is roughly **21% equity funds and stocks / 58% buffered index segments / 11% bonds / 10% cash and guaranteed**. The buffered segments are equity exposure with a floor and a ceiling, so about 79% of the household's money moves with stock indexes. Outside the DB plan the "cash" is doing two very different jobs. Inside the 401(k), **\$119,053** (31%) sits in the Guaranteed Interest Option at 2.00% — appropriate as a stable-value sleeve for someone near retirement, but Tommy is in a 2035 target-date fund, which implies roughly nine years to retirement, and the GIO rate is well below what a money-market fund or T-bills pay today (about 3.7–3.8%). Outside the plan, **\$9,480** is parked in bank sweeps at 0.01% — most of it the \$6,419 that is 43% of Sadie's growth-objective Roth IRA.

The equity sleeve is sensibly diversified where it is held in funds: the T. Rowe Price target-date funds are global multi-asset portfolios (75.8% stocks / 24.0% bonds for the 2035 fund), the kids own ACWI, and the 529 is age-based. The two concentrated spots are both in the joint account: one Treasury STRIP is 79% of it and SpaceX is 20%. The STRIP itself is fine — a AAA zero maturing in three years at about a 4.2% yield to maturity — but it pays nothing along the way, which is why an "income" account shows \$0 income.

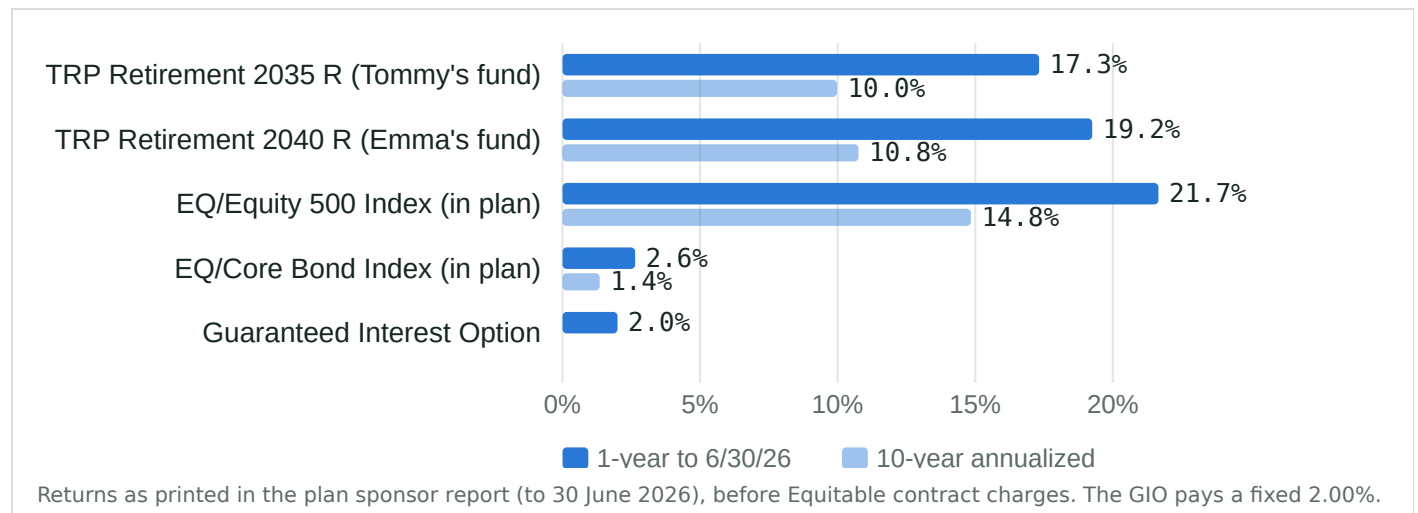


4 • PERFORMANCE

The funds have done their job; the wrapper has not

Tommy's personal rate of return was **6.59%** for Q2 and **6.14%** for the first half of 2026; Emma's, 100% in the 2040 fund, was 11.02% and 9.89%. The gap is the GIO: the T. Rowe Price 2035 R fund itself returned 8.80% YTD and 17.32% over one year, but a third of Tommy's balance earned 2% annualized. Over ten years the 2035 fund has compounded at 9.98% a year — respectable for a 75/25 portfolio, and in line with the plan's own S&P 500 index option minus the bond drag.

Those are the fund's returns before Equitable's charges. The statement footnote says the numbers exclude the separate-account charge, contract-level charge, contingent withdrawal charge and administrative charge; only the "asset charge" (\$336 for the quarter on Tommy's account) is itemized. The joint account was flat for the year (+\$52 through June) because it was mostly cash and a zero-coupon bond until the SpaceX purchase; the kids' Schwab accounts returned 3-9% YTD, and the 529 gained 7.5%.

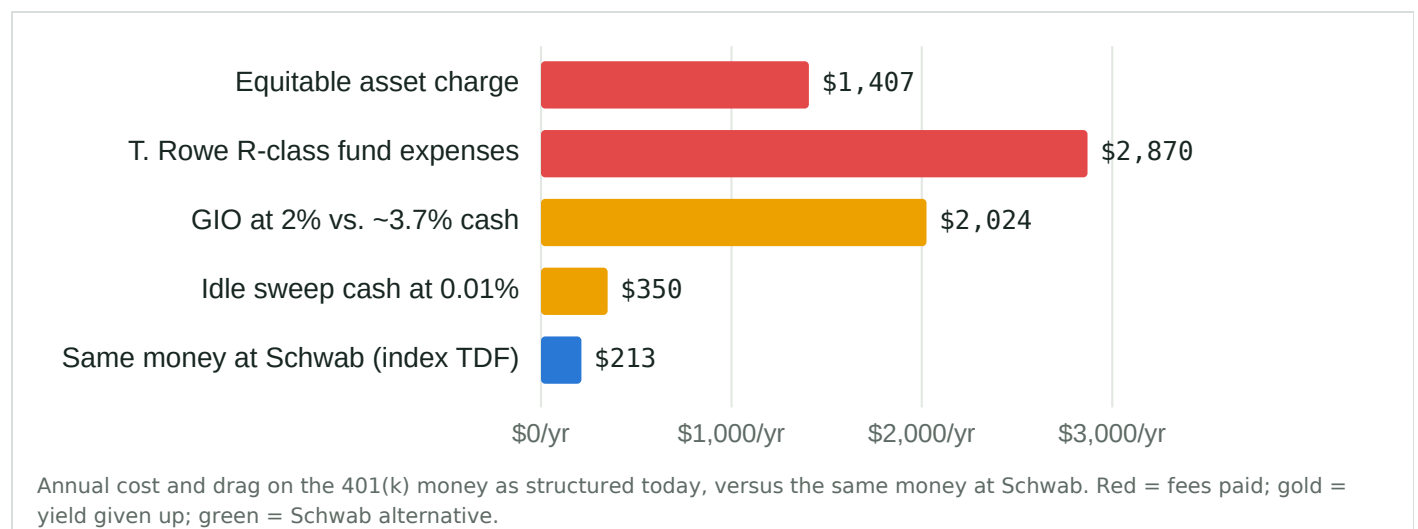


5 • COST

About 1.7% a year, most of it invisible

Only one fee appears on the 401(k) statements: the asset charge, **\$352** for the quarter across both participants, or about **\$1,407** a year (0.53% of the variable-fund balance; the GIO is not charged). The larger cost is inside the fund. The R share class of the T. Rowe Price Retirement funds carries a 1.08% expense ratio — including a 0.50% 12b-1 distribution fee that compensates the selling representative — and is netted out of the unit value, so it never shows up as a line. On \$265,742 that is roughly **\$2,870** a year. Equitable's own performance note lists further separate-account and contract-level charges that are not itemized anywhere in these pages.

Add the opportunity cost of the GIO (about **\$2,024** a year versus a 3.7% money fund) and the idle sweep cash (\$350), and the household is giving up roughly **\$6,650** a year — 1.73% of the plan. The same balances at Schwab in an index target-date fund (about 0.08%) with the stable-value money in a money-market fund would cost about **\$213**. On a \$385k plan growing at 6%, the difference compounds to roughly **\$100,878** over ten years.



The DB annuity has no comparable fee line at all — its cost is the gap between the index and the credited return described in section 2, roughly 2–4 points a year on \$737,594 in the years the statement shows. It is not included in the \$6,650 figure above because it is a return trade-off rather than a charge, but on the household's balance sheet it is the larger number.

Verify before quoting to the client: (1) the current T. Rowe Price R-class expense ratio from the plan's fee disclosure; (2) Equitable's separate-account / contract charges and the contingent withdrawal charge schedule for contract 693006 — the statement says they exist but does not price them; (3) the SWYFX expense ratio and SWVXX yield on the day of the meeting.

6 · RECOMMENDATION

Move the 401(k) and the joint account now; unwind the DB annuity on its own clock

The case for consolidating is not that Schwab's funds will outperform Equitable's — it is that 93% of the household sits in two insurance wrappers sold by one representative, both of which cost more than they show: the 401(k) about 1.7% a year in charges and drag, the DB annuity 2–4 points a year in capped upside. The 401(k) and the joint account can move within a quarter. The DB plan is the bigger prize but has a calendar: the withdrawal charge ends in February 2027, \$399,634 of segments mature by the end of 2027, and the rest can be moved as they mature or taken at interim value. Everything else — the Schwab custodial accounts, the 529, the mortgage — is already in the right place and just needs housekeeping.

#	ACCOUNT	VALUE	DESTINATION	METHOD	PRE-CONDITIONS / OPEN ITEMS
1	Hot Rod 401(k) — Tommy & Emma	\$384,795	Schwab Individual 401(k) — traditional + Roth	Adopt the Schwab plan, terminate the Equitable contract, direct plan-to-plan rollover. Lower-friction first step: roll the \$108,707 'Rollover' source to a Schwab Rollover IRA now if the plan allows in-service distribution of rollover money.	Employee census must be owner + spouse only (Emma is the only other participant on the sponsor report). Equitable contingent withdrawal charge schedule not on the statements — get it in writing. GIO transfer restriction is currently waived: move that \$119k first. Schwab I-401(k) has no loans.
2	Evans Group DB plan (SCS PLUS annuity)	\$737,594	Schwab-custodied DB plan (Schwab Personal Defined Benefit Plan, or the existing TPA with a Schwab company retirement account), or terminate the plan and roll to a Schwab IRA	Two steps now: change the maturity instructions from 'roll into the same segment' to the money-market option so maturing money stops being re-locked, and point new contributions at money market (already on file). Then transfer to Schwab after 9 Feb 2027, when the withdrawal charge reaches 0%, using free-withdrawal amounts and 1-year maturities first.	Contract dated 2/10/2021: withdrawal charge is 3% (≈\$22,128) until 9 Feb 2027, then 0%. \$399,634 of segments mature in 2026–27; the \$461,512 in 6-year segments run to 2028–31 and can only be taken early at interim value (no buffer). Need the plan's actuarial report, funding target and contribution schedule from the TPA.
3	Joint brokerage (LPL x1858)	\$55,845	Schwab One joint TOD	ACAT in kind; everything transfers. Then put the \$763 (and any future cash) in SWVXX.	\$125 LPL transfer-out fee. Decide separately whether the 2029 STRIP (≈4.2% yield to maturity, no cash income) and SPCX fit the stated 'income' objective.
4	Sadie Roth IRA / Sadie & Wren UTMA's	\$26,930	Already at Schwab	Invest the \$8,717 sitting in the bank sweep; 2026 Roth contribution if Sadie has earned income.	Nothing to transfer. Future gifts: 529 vs UTMA is a control and financial-aid question.
5	my529 — Wren	\$57,240	Keep at my529	No action. Consider opening a 529 for Sadie.	Schwab does not run its own 529; my529 at 0.08% admin is already low-cost.
6	Prudential life policy V2 668 056	not shown	Outside Schwab — review separately	Request an in-force illustration and the annual statement.	Only the \$500/yr planned-premium notice is on file; cash value and cost of insurance unknown.
7	Mortgage — RoundPoint 2.75%	–\$467,836	Keep; do not prepay	—	≈24 years left; the rate is below what cash earns.

Sequence

- **Before anything:** confirm Evans Group Home Loans has no employees other than Tommy and Emma (otherwise the Individual 401(k) is not available and a low-cost pooled-employer or open-

architecture 401(k) is the alternative); get the 401(k) contract's fee and withdrawal-charge schedule in writing; get the DB plan's actuarial report and the Prudential annual statement.

- **DB annuity, now:** change the segment maturity instructions from "roll over to the same segment type" to the EQ/Money Market option, so the \$134,833 maturing in the rest of 2026 and the \$264,801 in 2027 land in cash instead of new caps; confirm new contributions go to money market. Ask Equitable for the contract's free-withdrawal amount and the exact date the withdrawal charge reaches zero.
- **DB plan, from February 2027:** set up the Schwab side (Personal Defined Benefit Plan if Tommy wants to keep funding \$90k+/yr, otherwise a Schwab company retirement account under the current TPA), then move the money-market balance and matured segments by trustee-to-trustee transfer. Decide the six-year segments (\$461,512) one by one: hold to 2028-31 maturity inside the annuity, or take interim value once the charge is gone.
- **Now, inside the existing plan:** move the \$119,053 GIO balance into the plan's EQ/Equity 500 Index or a bond index option while the transfer restriction is waived — or at minimum into the target-date fund — so the money is not stuck when the plan terminates. This is worth about \$2,024 a year on its own.
- **Open the Schwab accounts:** Individual 401(k) (traditional + Roth) with Evans Group Home Loans as sponsor, and a joint TOD brokerage account. Schwab's plan documents must be adopted before the Equitable plan is terminated so the assets have somewhere to go.
- **Transfer:** ACAT the joint account in kind; direct plan-to-plan rollover of both 401(k) balances; file the final Form 5500 for the Equitable plan. If in-service distribution of the rollover source is allowed, the \$108,707 can move to a Schwab Rollover IRA immediately without waiting on plan termination.
- **Re-invest at Schwab:** a single low-cost target-date index fund or a three-fund index portfolio in the 401(k); SWVXX for cash everywhere; decide on the STRIP and SpaceX in the joint account on their merits rather than by inertia.
- **Housekeeping:** invest the idle sweep cash in the children's accounts; check Sadie's earned income for a 2026 Roth contribution; consider a 529 for Sadie; keep the 2.75% mortgage.

Defined-benefit plan — decision still open. Whether to keep funding a DB plan at all depends on the business's cash flow and Tommy's timeline (a Schwab Personal Defined Benefit Plan needs roughly \$90k+ a year of contributions and starts at \$2,250 to set up); if funding is winding down, terminating the plan and rolling \$737,594 into a Schwab IRA is simpler. Either way the annuity should be exited on the schedule above, not surrendered in one go. This needs the actuarial report and a conversation with the TPA before the client meeting.

METHOD

How the numbers were built

- All twelve PDFs are scans; each page was read from the image and cross-checked against OCR. Every monthly/quarterly reconciliation on the statements ties (beginning + contributions – fees + earnings = ending), and the 129 DB segment values sum to the printed total of \$737,594.
- The DB "statement" is Equitable's 16 July 2026 Segment Activity Report: it shows segment interim values, the July maturities and the annual-lock history, but no contributions, fees, surrender value or plan funding data. The index-vs-credited comparison uses the 25 annual-lock segment-years it prints; standard segments only show a return at maturity.
- Statement dates differ: 401(k), joint and 529 are at 30 June 2026; the DB annuity at 16 July; the three Schwab custodial accounts at 31 July 2026. Totals mix those dates.
- The 401(k) statements provided are pages 1-3 and 8 of 8 (Tommy) and the equivalent for Emma; the missing pages would carry transaction detail and the fee disclosure. The joint account is pages 1-5 of 12; the my529 page 1 of 2.
- Cost figures: asset charge annualized from Q2; fund expense ratio from T. Rowe Price's 6/30/2026 fact sheet for the R class; SWYFX and SWVXX figures are approximate external inputs; LPL fees from its 1/1/2026 fee schedule; Schwab plan terms from schwab.com. All are listed on the workbook's Assumptions sheet and drive the Cost sheet.

- Companion workbook: T-V Portfolio Analysis.xlsx (household summary, holdings, cost analysis with ten-year projection, migration plan, assumptions, sources).
- This is analysis, not tax or legal advice; plan termination, DB-plan decisions and the Roth contribution question should be confirmed with the client's CPA and the plan's TPA/actuary.